EXECUTIVE SUMMARY

DECODING CUSTOMER VALUE: A SQL-DRIVEN RETENTION STRATEGY

Business Objective

- Determine whether purchases are driven by loyalty or promotions.
- Identify strategies that improve retention while reducing promotional dependency.
- Analyze customer behavior using Python, SQL, and Power BI.

Strategic Recommendations

- **Protect Premium Loyalists**

Reward loyal customers through VIP experiences, exclusive benefits, and retention-focused programs rather than additional discounts.

- **Reduce Discount Dependency**

Gradually reduce promotional reliance among discount-driven customers while monitoring retention impact.

- **Invest in High-Value Regions**

Increase marketing focus on high-spend, low-promo-dependency regions with stronger organic demand.

- **Personalize Retention Campaigns**

Use behavioral segmentation combining loyalty, engagement, spending behavior, and promotional dependency.

KPI	Premium Loyalist	Discount Survivors	Retention Health Score	Promo Dependency Risk
Value	36.4%	43%	0.56%	0.43%

Key Findings

1. **Revenue Does Not Equal Loyalty**
High-spending customers were not always the most loyal customers, proving that revenue alone is a weak indicator of long-term retention.

2. **Premium Loyalists Are the Most Valuable Segment**
36.4% of customers belonged to the Premium Loyalist segment and demonstrated near-zero promotional dependency, making them the highest-quality customer base.

3. **Discount Dependency Is The Largest Business Risk**
43% of customers belonged to the Discount Survivors segment, creating the largest retention and margin risk due to heavy reliance on promotions.

4. **Geographic Growth Opportunities Exist**
50 regions exhibited promo dependency below 0.40, indicating stronger organic demand potential.

5. **Behavioral Segmentation Outperformed Traditional Segmentation**
Loyalty behavior, purchase frequency, category engagement, and promotional dependency generated stronger retention insights than revenue or demographic variables alone.

Strategic Insight

43% Discount Survivors vs. 36.4% Premium Loyalists

The analysis reveals that promotional dependency remains the brand's largest growth and margin risk. The greatest opportunity lies in identifying, protecting, and scaling organically loyal customers rather than increasing discount-driven acquisition.

EXECUTIVE RECOMMENDATION: PROTECT PREMIUM LOYALISTS AND REDUCE PROMOTIONAL DEPENDENCY